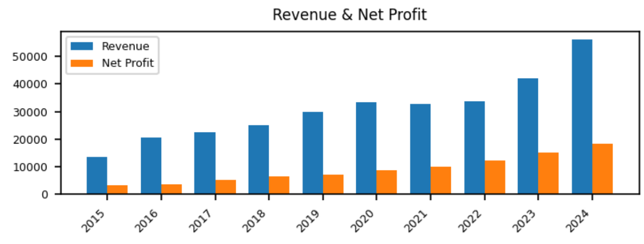
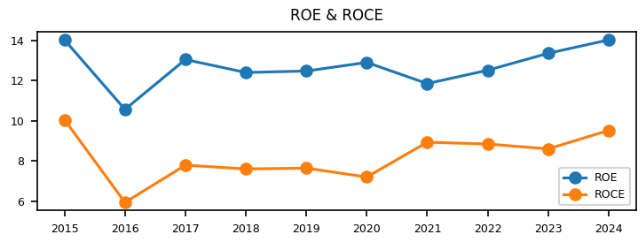
Kotak Mahindra Bank Ltd — KOTAKBANK

Financials | Private Banks

Latest Year	ROE	ROCE	NPM	D/E	FCF	Revenue CAGR 5Y	PAT CAGR 5Y	ICR
2024	14.0%	9.5%	32.4%	4.0	6,766.0 Cr	13.5%	20.4%	1.2

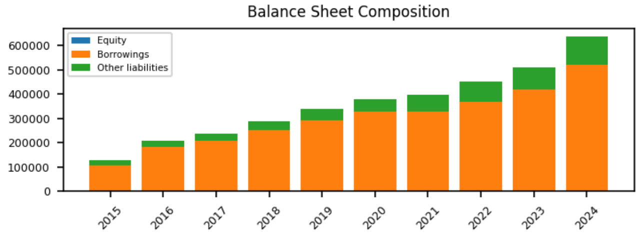


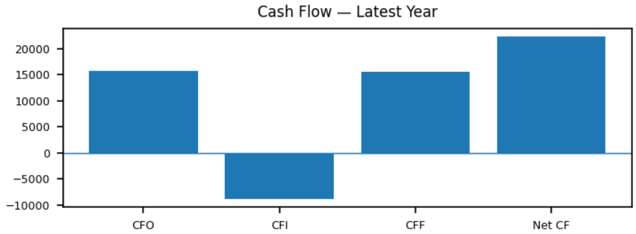


Company overview

Kotak Mahindra Bank is a diversified financial services group providing a wide range of banking and financial services including Retail Banking, Treasury and Corporate Banking, Investment Banking, Stock Broking, Vehicle Finance, Advisory services, Asset Management, Life Insurance and General Insurance.[1]

Balance Sheet & Cash Flow





Year	CFO	CFI	CFF	Net CF
2019	1,822.0	-3,323.0	8,365.0	6,864.0
2020	46,619.0	-13,068.0	-735.0	32,815.0
2021	4,881.0	-11,172.0	-10,072.0	-16,363.0
2022	8,308.0	-10,903.0	7,543.0	4,949.0
2023	-1,242.0	-10,381.0	1,883.0	-9,740.0
2024	15,685.0	-8,919.0	15,515.0	22,281.0

Pros

• Operating profit margin above 25% indicates strong pricing power and cost discipline. (confidence 80)

• Net profit compounding at above 20% over 5 years creates significant shareholder value. (confidence 80)

• Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding. (confidence 80)

• Return on equity improving for 3 consecutive years shows strengthening business quality. (confidence 85)

Cons

• Interest coverage ratio below 1.5 indicates the company is at risk of not meeting debt obligations. (confidence 80)

• Return on capital employed below 10% suggests the business is not generating efficient returns on invested capital. (confidence 80)

• Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility. (confidence 80)

Capital Allocation: Shareholder Returns